indications are not reliable predictors of a startup's future prospects. Consider companies such as Amazon.com that racked up huge losses on their way to breakthrough success.

Like its traditional counterpart, innovation accounting requires that a startup have and maintain a quantitative financial model that can be used to evaluate progress rigorously. However, in a startup's earliest days, there is not enough data to make an informed guess about what this model might look like. A startup's earliest strategic plans are likely to be hunch- or intuition-guided, and that is a good thing. To translate those instincts into data, entrepreneurs must, in Steve Blank's famous phrase, "get out of the building" and start learning.

GENCHI GEMBUTSU

The importance of basing strategic decisions on firsthand understanding of customers is one of the core principles that underlies the Toyota Production System. At Toyota, this goes by the Japanese term *genchi gembutsu*, which is one of the most important phrases in the lean manufacturing vocabulary. In English, it is usually translated as a directive to "go and see for yourself" so that business decisions can be based on deep firsthand knowledge. Jeffrey Liker, who has extensively documented the "Toyota Way," explains it this way:

> In my Toyota interviews, when I asked what distinguishes the Toyota Way from other management approaches, the most common first response was *genchi gembutsu*—whether I was in manufacturing, product development, sales, distribution, or public affairs. You cannot be sure you really understand any part of any business problem unless you go and see for yourself firsthand. It is unacceptable to take anything for granted or to rely on the reports of others.[6]